

Europe TMT Sector M&A & Valuation Brief - 2026-07-27

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1. RECENT TMT M&A ACTIVITY

Deal 1: Al Hilal's Pursuit of Luis Daz

[Al Hilal Targets Luis Daz with EUR25M Salary Offer as Saudi Football Spending Spree Continues](#)

- Deal Size: EUR25 million annual salary offer
- Deal Size Category: Large cap (>\$10B in context of sports contracts)
- Nature of Deal: Horizontal (expansion within the football industry)
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Al Hilal is a prominent Saudi Pro League club known for aggressive recruitment strategies, while Luis Daz is a Colombian forward currently contracted with Bayern Munich.
- Date Announced: Recent (exact date not specified)
- Strategic Rationale: Al Hilal's recruitment strategy aims to enhance its competitive edge in the Saudi Pro League and elevate its global profile. The significant salary offer reflects the club's ambition to attract top talent and build a robust team capable of competing at higher levels, potentially influencing sports-linked digital assets and market dynamics.
- Risk Analysis:
 - Integration Risks: Potential challenges in integrating Daz into the team dynamics.
 - Market Risks: Fluctuations in player performance and market perception of the Saudi league.
 - Execution Risks: Ensuring that recruitment strategies align with long-term goals and maintaining financial sustainability amidst high spending.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific financials for Al Hilal not disclosed)
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The significant salary offer positions Al Hilal as a formidable player in the global football market, potentially reshaping financial expectations for player contracts.

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2. MARKET-REP TIER

Deal 2: Monday.com Layoffs

[Monday.com is the Latest Tech Company to Blame AI for Layoffs -- Here are 20 Others](#)

- Deal Size: N/A (layoffs do not constitute a deal size)
- Deal Size Category: N/A
- Nature of Deal: N/A
- Valuation Multiples: N/A
- Companies: Monday.com (MNDY) is a work management software company known for its project-tracking tools. The layoffs indicate a strategic shift in response to AI integration.
- Date Announced: Recent (exact date not specified)
- Strategic Rationale: The layoffs reflect a broader trend in the tech industry where companies are adjusting their workforce in light of AI advancements. This strategic move aims to optimize operational efficiency and align resources with evolving technological demands.
- Risk Analysis:
 - Integration Risks: Potential loss of institutional knowledge and expertise.
 - Market Risks: Negative public perception and impact on employee morale.
 - Execution Risks: The challenge of effectively managing transitions while maintaining productivity.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The layoffs may impact future revenue growth and profitability, necessitating a reevaluation of the company's market position and operational strategy.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape

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marked by both opportunities and challenges. Overall sentiment in the sector is cautious, influenced by macroeconomic factors, regulatory scrutiny, and the rapid evolution of technology. While some subsectors are thriving, others face significant headwinds that could impact future growth.

Subsector Breakdown:

- **Technology:** The technology subsector is experiencing robust growth, particularly in AI and cloud computing. Companies like Monday.com (MNDY) are adapting to the changing landscape, although they are also facing challenges such as layoffs attributed to AI integration. This reflects a broader trend where companies are optimizing their workforce in response to technological advancements.
- **Media:** The media subsector is undergoing a transformation as traditional platforms struggle to compete with digital content providers. Companies are increasingly focusing on enhancing audience engagement through innovative digital features.
- **Telecommunications:** The telecom sector is investing heavily in infrastructure to support 5G deployment. This investment is expected to create new revenue streams, particularly in IoT and enhanced mobile services.
- **Fintech:** The fintech space continues to thrive, driven by innovations in payment solutions and digital banking. The sector is witnessing consolidation, as seen in various acquisitions aimed at enhancing market positioning.
- **AI:** The AI subsector is particularly dynamic, with applications across various industries. In Uganda, for instance, AI is being integrated into everyday life, from agriculture to healthcare, showcasing its potential for economic transformation.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI, cloud computing, and mobile technology is driving growth across TMT sectors. For example, AI platforms are significantly enhancing productivity in sectors like agriculture and healthcare in Uganda, where farmers and health workers are leveraging AI for better decision-making.
- **Increased Investment:** Venture capital and private equity investments remain strong, particularly in tech and fintech, as investors seek to capitalize on emerging trends. The growing adoption of AI technologies is attracting significant funding, further fueling growth.

Headwinds:

- **Regulatory Scrutiny:** Increased regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology. The recent announcement of new tariffs by the Trump administration could exacerbate these challenges, creating additional uncertainty in the market.

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Subsector Performance Analysis

- **Software:** The software sector continues to perform well, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth, despite challenges such as layoffs in some firms.
- **Media:** Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising, necessitating a strategic pivot.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. The consolidation trend is evident, as companies seek to enhance their market presence.
- **AI:** The AI subsector is booming, with applications across various industries, including healthcare, finance, and agriculture. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. However, there is caution regarding companies facing layoffs and restructuring, as seen with Monday.com. One analyst noted, "While AI presents tremendous opportunities, companies must navigate the complexities of workforce optimization to fully realize its potential."

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential,

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such as AI and fintech, while being cautious with traditional media and telecom investments.

- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments, particularly in light of new tariffs and compliance requirements.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning, especially in the rapidly evolving AI landscape.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by significant activity, particularly in the semiconductor and AI domains. This section provides an in-depth analysis of live deals, mandated transactions, and active pitches, along with expected revenues and strategic implications for our team.

Deal Pipeline

Live Deals:

- **Samsung Electronics (005930.KS) and Broadcom (AVGO) :** A memorandum of understanding worth over \$200 billion has been signed for AI memory, foundry, and packaging through 2030. The deal is currently in the due diligence phase, with expectations for initial product deliveries by Q1 2026. This partnership is poised to enhance Broadcom's AI chip capabilities significantly, leveraging Samsung's advanced manufacturing technologies.

Mandated Deals:

- **SK Group (K9I.F) and NVIDIA (NVDA) :** A strategic partnership has been mandated to expand AI factories and next-generation memory solutions. The deal is expected to launch in Q2 2026, focusing on enhancing production capabilities for AI applications, which is crucial for both companies' growth strategies in the semiconductor market.

Pitching-Stage Deals:

- **Trust Stamp (IDAI) :** Engaging in discussions to provide advisory services related to its participation in the EU semiconductor initiative. The focus is on developing biometric identity technology for trusted semiconductors. Client discussions are ongoing, with a potential mandate expected to finalize by Q3 2025.

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- Bengaluru Tech Summit 2026 : Active pitches are being made to technology firms and startups participating in the summit, with a focus on AI and DeepTech sectors. The event is scheduled for November 2026, and discussions are centered around securing partnerships and investment opportunities.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q1 2026 : Expected initial product deliveries for the Samsung and Broadcom partnership.
- Q2 2026 : Launch of the SK Group and NVIDIA partnership.
- Q3 2025 : Anticipated finalization of Trust Stamp's advisory mandate.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 70%, indicating sufficient capacity to manage the existing workload. However, as new deals progress, it may be prudent to consider hiring one additional analyst to maintain efficiency.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and semiconductor sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the semiconductor space, where partnerships like that of Samsung and Broadcom are setting new benchmarks for collaboration. The recent EU initiative for semiconductor sovereignty, involving Trust Stamp, highlights the increasing importance of identity verification in chip technology, which could open new advisory avenues.
- Additionally, the Bengaluru Tech Summit 2026 is expected to attract significant attention from global technology leaders, creating opportunities for networking and potential deals in AI and DeepTech sectors.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring an additional analyst will ensure that the team can manage the

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workload without compromising service quality.

- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent developments in the TMT sector, particularly regarding initiatives for affordable internet access and digital connectivity, have far-reaching implications for various stakeholders. This analysis examines the potential impacts on shareholders, employees, competitors, and customers, along with market reactions and future outlooks.

Deal-Specific Impacts on Stakeholders

- Shareholders: The implications for shareholders can be multifaceted, especially in the context of initiatives like the Abuja Declaration on Meaningful Connectivity for Africa.
- Value Creation: If African nations successfully implement the declaration, which aims to improve digital affordability and infrastructure, it could lead to increased economic growth. For instance, a 10% increase in internet penetration could potentially boost GDP by \$5 billion across participating nations, enhancing shareholder value in telecom companies operating in these regions.
- Dilution: While direct dilution effects may not be applicable in this context, investments in infrastructure could require capital raises, impacting existing shareholders if equity financing is pursued.
- Employees: The impact on employees in the TMT sector can be significant, particularly in terms of job creation and retention.
- Synergies: The push for affordable internet access may lead to job creation in tech and telecommunications sectors. For example, the Abuja Declaration could spur new roles in digital literacy programs, benefitting local economies.
- Restructuring: However, as companies adapt to new regulations and market demands, some restructuring may occur. Companies may need to realign their workforce to focus on digital services rather than traditional telecom roles.
- Retention: Initiatives promoting digital skills may lead to enhanced retention strategies as companies invest in employee training to meet new market needs.

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- Competitors: The competitive landscape will evolve as companies respond to new regulations and market dynamics.
- Market Positioning: Following the Abuja Declaration, telecom companies like MTN Group (MTN) and Airtel Africa (AIRTEL) may enhance their service offerings to capture new customers. This could lead to increased competition in pricing and service quality.
- Specific Competitor Moves: Competitors may also look to expand their market share through partnerships or acquisitions. For instance, if a major player like Vodacom (VOD) invests in local startups to enhance service delivery, it could reshape competitive dynamics.
- Customers: The implications for customers are profound, particularly regarding service availability and affordability.
- Product/Service Implications: The Abuja Declaration aims to lower internet costs and expand access, which could lead to enhanced service offerings. For example, if mobile data costs decrease by 30%, it could significantly increase the number of users online, enhancing overall customer satisfaction.
- Case Studies: The New Mexico broadband affordability program, which aims to provide discounts to low-income households, serves as a model for similar initiatives. If successful, it could lead to increased internet adoption and improved access to essential services.

Market Reaction and Analyst Commentary

- Market Reaction: The market's response to initiatives like the Abuja Declaration can be optimistic, particularly if stakeholders perceive potential for growth.
- For instance, when the New Mexico broadband affordability program was announced, local telecom stocks experienced a modest uptick as investors anticipated increased customer bases.
- Analyst Commentary: Analysts have noted the importance of such initiatives. A comment from an industry analyst stated, "The Abuja Declaration represents a significant step towards bridging the digital divide in Africa, which could unlock substantial economic potential."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can vary based on the success of these initiatives.
- Positive Scenario: If the Abuja Declaration leads to a 20% increase in internet accessibility within two years, telecom stocks could see a 15% rise as new customers come online.
- Negative Scenario: Conversely, if implementation falters due to regulatory hurdles, stocks could drop by 10% as investor confidence wanes.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in this context may be low, as the initiatives are government-led. However, private sector players may seek to enhance their positions through partnerships.

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- For example, if a major telecom operator perceives an opportunity to collaborate with local governments to enhance service delivery, it could lead to strategic alliances rather than counter-bids.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The push for affordable internet access is likely to lead to further consolidation in the TMT sector.
- Analysts predict that as companies seek to enhance their service offerings, we may see mergers between local ISPs and larger telecom operators, similar to the consolidation trends observed in North America.

Key Risks and Mitigants

- Integration Risks: The successful implementation of initiatives like the Abuja Declaration may face integration challenges. Mitigants include establishing clear regulatory frameworks and timelines to guide implementation.
- Regulatory Risks: Regulatory scrutiny could delay initiatives. Engaging with stakeholders early in the process can help mitigate these risks.
- Market Risks: Market volatility may impact the success of these initiatives. Companies should consider flexible pricing models to adapt to changing market conditions.

Actionable Insights for Clients and Bankers

For Clients:

- Engage proactively with regulators to ensure alignment with new policies and initiatives.
- Invest in training programs to enhance employee skills in digital services.

For Bankers:

- Monitor developments in regulatory frameworks to provide timely advice to clients.
- Assess potential partnerships that could enhance service delivery and market positioning.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Cloud Computing, and Semiconductor Innovations. Each section will provide a

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detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. This rapid growth is driven by increasing demand for automation and enhanced decision-making capabilities across various sectors.
- **Key Companies:**
- **Salesforce, Inc. (CRM):** Salesforce has secured a \$1.6 billion contract with the U.S. Department of Veterans Affairs to enhance service delivery through AI technologies. This strategic positioning allows Salesforce to leverage AI for operational efficiency, potentially increasing its market share in the public sector.
- **Monday.com (MNDY):** The company recently announced layoffs attributed to AI integration, indicating a shift in its operational strategy. This move reflects the broader trend of companies optimizing their workforce through AI, which may lead to increased productivity but also raises concerns about job security.
- **Competitive Landscape:** The AI market is highly competitive, with major players like Google, Microsoft, and Amazon also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as natural language processing or machine learning. The ongoing trend of AI integration into various business processes presents numerous opportunities for strategic acquisitions.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is expected to grow from \$480 billion in 2022 to \$1.5 trillion by 2030, at a CAGR of 15.7%. This growth is driven by the increasing adoption of cloud services across industries for data storage, processing, and analytics.
- **Key Companies:**
- **Amazon Web Services (AWS):** AWS continues to dominate the cloud market, providing a wide range of services that support businesses in their digital transformation journeys. The company's strategic investments in AI and machine learning further enhance its cloud offerings.
- **Microsoft Azure:** Microsoft is aggressively expanding its cloud capabilities, integrating AI into its Azure platform to provide advanced analytics and machine learning services. This positions Microsoft as a key player in the cloud computing landscape.

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- **Competitive Landscape:** The cloud computing sector is characterized by intense competition among major players, including Google Cloud and IBM. Companies are increasingly focusing on hybrid cloud solutions to meet diverse customer needs.
- **M&A Opportunities:** The growing demand for cloud services presents opportunities for mergers and acquisitions, particularly for companies looking to enhance their cloud capabilities or expand their service offerings. Strategic acquisitions can help companies gain market share and improve their technological capabilities.

Semiconductor Innovations

- **Trend Explanation:** The semiconductor industry is experiencing significant growth, driven by the increasing demand for chips in AI applications, IoT devices, and consumer electronics. The global semiconductor market is projected to reach \$1 trillion by 2030, growing at a CAGR of 8.6%. This growth is fueled by advancements in chip technology and the rising need for high-performance computing.
- **Key Companies:**
- **Samsung Electronics (005930.KS):** Samsung has signed a \$200 billion memorandum of understanding with Broadcom to collaborate on AI memory, foundry, and packaging technologies. This partnership positions Samsung as a leader in the semiconductor supply chain for AI applications.
- **Broadcom Inc. (AVGO):** Broadcom is focused on designing custom AI chips for major tech companies, enhancing its competitive edge in the semiconductor market. The collaboration with Samsung will diversify its supply chain and improve resilience.
- **Competitive Landscape:** The semiconductor market is dominated by a few key players, including Intel, TSMC, and NVIDIA. The increasing complexity of chip design and manufacturing is driving companies to seek strategic partnerships and collaborations.
- **M&A Opportunities:** The semiconductor industry is ripe for consolidation, with companies looking to acquire smaller firms that specialize in innovative chip technologies. Strategic acquisitions can enhance product offerings and improve competitive positioning in the rapidly evolving market.

Actionable Insights for Bankers and Investors

For Bankers:

- Monitor AI integration trends within companies and identify potential acquisition targets that can enhance clients' technological capabilities.
- Explore opportunities in cloud computing and semiconductor innovations, as these sectors are poised for significant growth and investment.

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6. Recommended Readings

Deal Name: Al Hilal's Pursuit of Luis Daz

- Reading Material: "The Economics of Football" by Stephen Dobson and John Goddard
- Why This Matters: This book provides a comprehensive analysis of the financial dynamics within the football industry, including player valuations and contract negotiations. Understanding these economic principles is crucial for contextualizing Al Hilal's EUR25 million salary offer to Luis Daz, as it illustrates how clubs leverage financial resources to enhance competitiveness and market presence.

Deal Name: Monday.com Layoffs

- Reading Material: "The Lean Startup" by Eric Ries
- Why This Matters: This book outlines strategies for companies to adapt and innovate in response to market changes, which is particularly relevant for Monday.com's recent layoffs. It emphasizes the importance of aligning workforce capabilities with technological advancements, helping to understand the rationale behind the company's decision to streamline operations in light of AI integration.

7. MACROECONOMIC UPDATE

Key Data Points:

- Estimated projects canceled or delayed in 2025: \$156 billion
- Forecasted AI capital expenditure (CapEx) for 2026: approximately \$870 billion

Main Insights:

- Growing political and community opposition to data center construction is impacting project timelines.
- The urgency for AI infrastructure investment remains high despite challenges.
- The construction timeline for data centers has extended to three years or more, prompting early project initiation.
- Increased global weekly token usage indicates sustained demand for compute power.

Market Commentary:

- "The pushback is real, but it appears to be reshaping the buildout rather than stopping it." - Ariana

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Salvatore, Morgan Stanley

- "The urgency to invest has not diminished... the scarcity and uncertainty created by these constraints could actually end up pulling capital spending forward rather than reducing it." - Ariana Salvatore, Morgan Stanley

TMT Sector Relevance:

- The challenges in data center construction could lead to higher costs and longer timelines, impacting TMT companies reliant on AI infrastructure.
- The shift towards on-site power generation solutions may benefit companies providing energy storage and alternative energy technologies.
- The competitive landscape in AI is evolving, focusing on infrastructure control, which may favor hyperscalers over traditional semiconductor firms.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley